ACQUISITION RECOMMENDATION · SINGLE-TENANT NET LEASE · AUGUST 2026

451 White Horse Pike, Atco, New Jersey

±4,400 SF former Wells Fargo branch on ±3.13 acres · 3-lane drive-thru · Corner of US Route 30 & Cooper Folly Road
Leased to Holistic Solutions through January 2033 · Listed at $1,600,000

RECOMMENDATION

Offer $1,100,000 — all cash, 30-day diligence, 15-day close.

At $1,100,000 we pay what this building is worth with an ordinary tenant paying ordinary market rent. The 6.5 years of above-market cannabis rent, the renewal option, the drive-thru and 2.5 acres of idle land all come free. Expected unlevered return **12%** (levered **14.9%**), and every modelled outcome — including total tenant failure — returns a profit.

OUR OFFER	GOING-IN CAP	VALUE INDICATION	EXPECTED IRR	WORST CASE IRR	DISCOUNT TO ASK
$1.10M	**12.00%**	**$1.25M**	**12.0%**	**+6.2%**	**−31%**
$250.00 / SF	on $132,000 in place	four methods converge	unlevered, weighted	total tenant failure	$500,000 below

WHY IT WORKS — FOUR REASONS

$0

We pay nothing for the upside

Market rent of $22/SF capitalizes to **$1,106,000**. Our offer is $1,100,000 — we buy at plain re-let-to-a-bank value, so the cannabis premium, the option, the drive-thru and the land cost us nothing.

78%

Capital returned before expiry

Contracted rent to January 2033 totals **$858,000** — back in hand before the lease matures, with no reliance on renewal, refinancing or resale.

68%

Basis covered by dirt and shell

Land plus vacant building supports ~**$750,000**. Strip it out and only about **$350,000** is genuinely at risk against a $132,000 income stream.

+6.2%

The worst case still pays

Tenant fails, building dark, liquidate — still returns **6.2%**. At the $1.6M ask that scenario returns **−1.4%**. That gap is the whole argument.

THE NUMBERS THAT MATTER

METRIC	AT OUR OFFER	AT THE ASK	WHAT IT MEANS
Purchase price	**$1,100,000**	**$1,600,000**	**31% below the ask, 12% below our own value indication**
Price per square foot	$250.00	$363.64	Well below the cost of building it new
Going-in cap rate	12.00%	8.25%	Cannabis dispensaries trade at 7.4%–9.35%
Expected unlevered IRR	12.00%	4.33%	Probability-weighted across six reversion outcomes
Best case (tenant renews, 40%)	15.80%	8.07%	The single most likely outcome
Worst case (total vacancy, 5%)	+6.20%	−1.43%	Liquidate land and shell
Debt service coverage (55% LTV)	2.00x	1.38x	Most lenders decline below 1.25x
Cash-on-cash (55% LTV)	13.3%	5.0%	Annual cash return on equity after debt service
Levered IRR (55% LTV)	14.85%	−3.32%	At the ask, debt costs more than the property yields

Upside we are not paying for

Coverage is only **3.2%**, leaving **±2.48 developable acres** on a highway corner. An outparcel ground lease plus an EV charging licence adds ~**$75,000/yr** and ~**$661,000** of value — excluded from every return above. Yield on cost would go to **18.8%**.

Negotiation discipline

Open at $1,100,000. Ceiling **$1,250,000** — also the point where leverage turns neutral. Above that we pay more than the property is worth. The $1,600,000 ask returns 4.3% unlevered and **−3.3% levered**: decline.

Detail: asset & lease (§1) · valuation (§2) · like-and-kind lease comps (§3) · re-leasing options & timing (§4) · re-rent economics (§5) · the land (§6) · sale comps (§7) · returns (§8) · stress tests (§9) · risks (§10) · recommendation (§11).

IF THE TENANT LEAVES — THE QUESTION THAT DECIDES THE DEAL

RE-LET SCENARIO	RENT / SF	ANNUAL RENT	YIELD ON OUR OFFER	COMMENT
Another cannabis licensee	$30.00	$132,000	12.0%	Holds the rent, but Waterford permits only two licences
Bank / credit union or medical	$24.00	$105,600	9.6%	Turnkey — the vault and drive-thru are already there
Conventional market rent	**$22.00**	**$96,800**	8.8%	**Our underwriting case — what we priced the deal on**
Deep downside	$18.00	$79,200	7.2%	Bottom of the range — still clears our cost of capital
Break-even to hold our basis	**$21.25**	**$93,500**	8.5%	**Sits below the market midpoint — that is the cushion**

01 The asset and the lease

Source: Offering Memorandum

Address	451 White Horse Pike (US Route 30), Atco — Waterford Township, Camden County, NJ 08004. **Corner of White Horse Pike & Cooper Folly Road.**
Building / land	±4,400 SF per OM · 4,206 SF per tax assessor · ±3.13 acres (≈3.2% site coverage) Confirm GLA by measurement — a 4.4% difference moves price per foot by about $12 at our number.
Improvements	Built 1960 as a bank branch, renovated 2023. Vault, secure infrastructure, **3-lane drive-thru**, ample surface parking. ±15,370 vehicles per day.
Zoning	PHB — Planned Highway Business. Atco sits in the Pinelands **Regional Growth Area**, the most permissive of the six CMP designations.
Tenant	Holistic Solutions — NJ medical and adult-use dispensary, founded 2018, single location. Opened February 2023 as New Jersey's 33rd medical dispensary and first Black woman-owned licence holder; converted to adult-use May 2023. Three-plus years of operating history at this site.
Lease	Absolute NNN — tenant carries taxes, insurance, CAM, HVAC, roof and structure. Commenced 1 Feb 2023, expires 31 Jan 2033. **±6.5 years remaining.**
Rent	$11,000/month · **$132,000/year** · $30.00/SF — **flat through the base term, no escalations**
Option	One 5-year option at $154,000 ($35.00/SF). At our basis that option period yields **14.0%**. Tenant-elective — underwritten as optionality, never as income.
Guarantee	Two personal guarantees, including a senior executive of a global manufacturer. No corporate credit — which is precisely why we are not paying an institutional cap rate.
Our basis	**$1,100,000 · $250.00/SF · 12.00% going-in cap · below replacement cost**

02 Valuation — where the comps land

Four independent methods

Four methods, run separately, converge on a weighted indication of $1,252,500. None gets near the $1,600,000 ask; all sit above our offer.

METHOD	HOW IT IS DERIVED	VALUE	VS ASK	VS OUR OFFER
In-place income at a market cap rate	$132,000 capitalized at 9.75% — the correct rate for flat rent on a personally guaranteed lease with 6.5 years left	$1,353,800	−15.4%	+23%
Tax assessor equalized value	$760,200 assessed ÷ 59.81% Camden County equalization ratio	$1,271,000	−20.6%	+16%
County retail price per SF	Camden County retail listing average ≈ $273/SF × 4,400 SF	$1,201,200	−24.9%	+9%
Market-rent capitalization	$22/SF conventional rent → $96,800 NOI at 8.75% — the value with *no* cannabis premium at all	$1,106,300	−30.9%	+0.6%
Weighted value indication	**In-place income 40%, assessor 20%, $/SF 15%, market-rent floor 25%**	**$1,252,500**	−21.7%	+13.9%

Read the last two rows together. The value indication is **$1.25M**. The absolute floor — what the property is worth stripped of every cannabis dollar — is **$1.11M**. Our offer sits *at the floor*.

That is what makes this a strong entry rather than a reckless one: we are not betting the property is worth less than $1.25M. We are declining to pay the difference between $1.11M and $1.25M, and taking it as margin instead.

03 Local lease comps — like and kind

Asking rates · NNN

The corridor evidence is what makes $1.1M safe: it tells us what this box rents for with *any* tenant. Tier 1 is genuinely like-and-kind — freestanding buildings with a drive-thru. Tier 2 is submarket context.

TIER 1 — LIKE AND KIND: FREESTANDING, DRIVE-THRU

COMPARABLE	TYPE	SF	RENT / SF	ANNUAL	DT	CORNER	READ-THROUGH
451 White Horse Pike, Atco SUBJECT — in place	Freestanding, drive-thru, cannabis	4,400	$30.00	$132,000	3-lane	Yes	36% above conventional market — a premium that expires with the tenant
340 S White Horse Pike, Berlin	Freestanding retail w/ drive-thru	1,750	$27.43	$48,000	Yes	—	The best direct comp we have ($4,000/mo). But it is a small box, and small boxes always earn more per foot — a 4,400 SF building will not beat this rate
804 N White Horse Pike, Magnolia	Former Arby's, drive-thru, 38 spaces	3,035	On req.	—	Yes	—	Closest second-generation drive-thru analogue on the corridor — worth a call to pin the number
2 S White Horse Pike, Stratford	Freestanding QSR (Freebyrd Chicken)	—	On req.	—	Yes	Yes	Corner freestanding QSR on the same pike — evidence of active drive-thru demand here

TIER 2 — SUBMARKET CONTEXT

COMPARABLE	TYPE	SF	RENT / SF	IF APPLIED TO 4,400 SF	READ-THROUGH
NJ medical office average	Medical	—	$24.00	$105,600	Ceiling for a healthcare backfill — and healthcare is the deepest demand pool for this box
Berlin submarket average	Retail, all formats	—	$21.00	$92,400	Adjacent submarket, comparable demographics
Sicklerville submarket average	Retail, all formats	—	$20.00	$88,000	Adjacent submarket, comparable demographics
Hammonton submarket average	Retail, all formats	—	$20.00	$88,000	Route 30 east, comparable
Atco submarket average	Retail, all formats	—	$13.00	$57,200	**This is in-line strip space** — which is why it is low. Our freestanding corner drive-thru beats it comfortably. Do not read this as our market rent
706 N White Horse Pike, Magnolia	Flex / industrial	40,000	$11.50	—	Scale reference only — large boxes on this pike clear in the low teens
CONCLUDED MARKET RENT	**Freestanding, drive-thru, corner, large lot**	**4,400**	**$20–$24**	**$88,000–$105,600**	**Base case $22.00/SF — the floor our offer is built on**

HOW WE GOT TO $22 — THE ADJUSTMENT REASONING

Start from the submarket	Berlin, Sicklerville and Hammonton all cluster at $20–21/SF for general retail. That is the base.
Add for freestanding	A standalone building with its own identity, signage and parking field commands a premium over in-line strip space. Atco's $13/SF average is in-line space and is not our comp.
Add for the drive-thru	The Berlin comp at $27.43/SF is the only priced like-and-kind evidence we have — a freestanding drive-thru.
Add for the corner	Two frontages, signage on both, and secondary-road access. A real premium over mid-block, and what makes the drive-thru circulation work at all.
Subtract for size	At 4,400 SF this is roughly 2.5× the Berlin comp. Larger boxes lease at lower rates per foot, pulling us back from $27.
Land at $20–$24, base $22	**Below the small-box drive-thru comp, above the general submarket average. Our entire offer is built on this box re-letting at $22 — and the deal still works at $18.**

Submarket averages are asking-rate averages published by commercial listing platforms, not verified closed leases. Verify against CoStar comparable-lease data in diligence. Our offer holds even at the bottom of this range.

04 Re-leasing options and how long each takes

Ranked by speed and cost to execute

The objective: one re-tenanting, not perpetual churn. This asset should not become a management job. The plan is a *single* re-tenanting event into a tenant that signs a 10–15 year NNN lease *with escalations* — and then it goes passive again for a decade or more.

That objective changes the ranking below. The right tenants are the ones with sunk fit-out cost and a location-bound customer base — medical groups, banks and credit unions — because they stay. The wrong answer is a string of short conventional retail deals at $18–22/SF that roll every five years and put us back in the market again and again. It also argues against demising the box for a QSR: that trades one covenant for two and doubles the management. **Keep it single-tenant, and buy duration.**

Six realistic paths back to full rent, ranked by **durability first**, then speed and cost. Note that re-tenanting also fixes the one real flaw in the lease we are buying: a new covenant comes with rent escalations, which the current lease does not have.

#	TENANT TYPE	RENT / SF	YIELD ON $1.1M	TIME TO RENT	LANDLORD COST	TYPICAL TERM	ROLLOVER RISK	WHY IT WORKS HERE
1	**Urgent care / dental / vet**	**$22–26**	**8.8–10.4%**	**12–17 mo**	**$264,000**	**10–15 yrs**	**Very low**	**The best answer for a passive owner. Huge sunk fit-out and a location-bound patient base mean they do not move. They sign 10–15 year NNN leases *with escalations* — fixing the one real flaw in the lease we are buying. Deepest tenant pool in South Jersey; the drive-thru converts to a covered patient drop-off.**

#	TENANT TYPE	RENT / SF	YIELD ON $1.1M	TIME TO RENT	LANDLORD COST	TYPICAL TERM	ROLLOVER RISK	WHY IT WORKS HERE
2	**Bank / credit union**	**$22–26**	**8.8–10.4%**	**6–10 mo**	**$22,000**	**10–15 yrs**	**Very low**	**The building already *is* one — vault, 3-lane drive-thru and teller infrastructure transfer as-is, so fit-out is cosmetic and occupancy is fastest. Branches are capital-intensive and banks stay put. Cheapest and quickest route to a long covenant.**
3	Cannabis — new NJ licensee	$28–34	11.2–13.6%	12–18 mo	$66,000	10 yrs	Low	Holds the full rent with almost no fit-out, and the licence is tied to this premises so the tenant is sticky. But Waterford permits only two retail licences and the incumbent holds one, and CRC approval adds a long regulatory lag.
4	QSR / coffee drive-thru	$38–48	7.6–9.6%	18–24 mo	$286,000	15–20 yrs	Very low	Longest lease terms of any use and very sticky — but it needs a demise to ~2,200 SF or a pad rebuild, which trades one covenant for two and doubles the management. Pursue it on the excess *land* as a ground lease instead, and keep the box single-tenant.
5	Daycare / early education	$18–22	7.2–8.8%	18–30 mo	$308,000	10–15 yrs	Low	Sticky once open — licensing and parent relationships are location-bound — but site plan approval and state licensing make this the slowest option to start.

#	TENANT TYPE	RENT / SF	YIELD ON $1.1M	TIME TO RENT	LANDLORD COST	TYPICAL TERM	ROLLOVER RISK	WHY IT WORKS HERE
6	Conventional retail / service	$18–22	7.2–8.8%	8–12 mo	$132,000	5–10 yrs	**HIGH**	Liquor, convenience, pharmacy, auto parts, fitness. Always available, and it pays — but these roll every five years and put us straight back in the market. A fallback, not a plan, precisely because it is the churn outcome we are trying to avoid.
	In place today (cannabis)	**$30.00**	**12.0%**	—	—	**10 yrs, flat**	n/a	No action required while the lease runs to January 2033. Note it has no escalations — re-tenanting is how we fix that.

HOW LONG IT TAKES — INDICATIVE TIMELINE FROM VACANCY TO RENT COMMENCING

STAGE	BANK / CU	MEDICAL	RETAIL	CANNABIS	QSR	WHAT HAPPENS
Marketing and tenant sourcing	4	6	4	6	9	List, tour, negotiate LOI. A corner drive-thru property tours well and shortens this.
Lease negotiation and signature	2	2	2	3	3	Longer where a licence or franchise approval is involved.
Permits, approvals, licensing	1	3	1	12	4	The cannabis line is CRC plus township approval — the long pole in that option.
Construction and fit-out	3	6	3	3	8	Bank and retail are cosmetic. Medical and QSR are full build-outs.
TOTAL MONTHS TO RENT COMMENCING	**10**	**17**	**10**	**24**	**24**	**Overlapping stages can compress this; assume the longer end in a slow market**
Rent forgone during downtime	$80,700	$137,100	$80,700	$193,600	$193,600	Market rent lost while the building sits empty
Carry cost during downtime	$51,200	$87,000	$51,200	$122,800	$122,800	Taxes, insurance and maintenance the landlord picks up when vacant

WHY THE CORNER MATTERS — THIS IS NOT AN ORDINARY IN-LINE BOX

Two frontages, two access points

The property sits at the corner of US Route 30 and Cooper Folly Road. Corner sites carry a genuine rent premium over mid-block space: signage on two streets, ingress and egress from a secondary road so customers avoid turning across highway traffic, and far easier circulation.

It is what makes the drive-thru work

A 3-lane drive-thru needs stacking depth and a clean in-and-out loop. On a mid-block parcel that is hard; on a corner it is straightforward. This single feature is what puts banks, QSR, coffee and pharmacy tenants in play at all.

It widens the tenant pool

The uses that require or strongly prefer a corner — QSR, coffee, pharmacy, convenience, car wash, bank — are precisely the covenant-strength tenants who sign long NNN leases with escalations. A mid-block box does not get those calls.

It supports subdividing a pad

A corner parcel of 3.13 acres can usually yield a second access point and a separate pad with its own frontage without compromising the existing building's parking or circulation. That is what makes the land upside physically realistic rather than theoretical.

Marketing periods, fit-out durations and landlord costs are analyst estimates based on typical South Jersey second-generation retail transactions.

05 Re-rent economics — every outcome works

Yield on a $1.1M basis

This is the table that decides the deal. At $1,100,000 there is no realistic tenant type that fails to produce an acceptable yield on cost.

SCENARIO	RENT / SF	ANNUAL RENT	YIELD ON COST	RELATIVE TO AN 8% THRESHOLD
In place today (cannabis)	$30.00	$132,000	12.00%	
Cannabis — new NJ licensee	$30.00	$132,000	12.00%	
Medical / urgent care / vet	$26.00	$114,400	10.40%	
Bank / credit union	$24.00	$105,600	9.60%	
Blended conventional market	**$22.00**	**$96,800**	8.80%	
Conventional retail / service	$20.00	$88,000	8.00%	
Deep downside re-let	$18.00	$79,200	7.20%	
Break-even to hold our basis	**$21.25**	**$93,500**	8.50%	**Below the market midpoint of $22.00**

> **The margin of safety, stated exactly.** To merely hold our $1,100,000 basis the building needs to re-let at **$21.25/SF**. Conventional market rent is $20–24, midpoint $22. We are protected at the middle of the market — everything above $21.25 is profit.

06 The land — 2.5 acres we are not paying for

Excluded from every return

The building covers **3.2% of the site**. After parking and drive-thru stacking, roughly **2.48 acres sit idle** on a highway corner. No return in this analysis assumes a dollar of it.

OPPORTUNITY	HOW IT IS DERIVED	LOW	BASE	HIGH	LAND USED
Outparcel ground lease QSR, coffee, car wash or medical pad	Entitled pad land value of $500k–$800k capitalized at an 8–9% ground-lease yield	$40,000	$55,000	$75,000	0.75–1.0 AC
EV fast-charging licence 6–8 DC fast stalls	Corridor DCFC benchmarks of $2,200–3,500/stall/mo discounted to $1,000–1,800 for a 15,370-VPD secondary route, at a 10–25% owner revenue share. Operator funds 100% of capex	$12,000	$20,000	$34,000	0.30–0.40 AC
Combined incremental NOI	**On land carried at zero in our base case**	**$52,000**	**$75,000**	**$109,000**	**≈1.3 AC**
Value created at a 9.25% cap	**Net of ~$150,000 of subdivision, entitlement and site work**	**$412,000**	**$661,000**	**$1,028,000**	–

What it does to the deal

Base case adds **$75,000** of NOI, taking yield on cost from 12.0% to **18.8%**. More importantly it transforms the downside: with a pad in place, even a dark building re-let at $18/SF still yields **14.0% on cost**. The land does not just add upside — it removes the downside.

The gating item

The offering markets ±3.13 AC as the leased premises. **If the lease demises the entire lot to the tenant, we cannot develop any of it during the term without their consent.** Read the demised-premises clause first. Also confirm Pinelands review, sewer capacity (the CMP requires centralized wastewater for sub-acre nonresidential parcels), and that a pad leaves the tenant compliant parking.

On EV charging — set expectations correctly. Tesla's own historic model pays site hosts little or no ground rent, and its newer "Supercharger for Business" program is host-owned, meaning *we* would fund the hardware. The rent is with third-party operators — EVgo, Electrify America, Applegreen and similar — who fund 100% of capex and pay a fixed licence fee or 10–25% of gross charging revenue. Pursue a third-party operator for income; treat a Tesla install as a traffic-and-visibility play.

07 Sale comps and cap rate positioning

Cannabis STNL benchmarks

Cannabis dispensaries trade between 7.4% and 9.35%. Our entry at 12.00% is wider than every comparable transaction in the set, and 520 bps wide of the broader net lease market.

COMPARABLE	PRICE	CAP RATE	NOTE	STATUS
STNL market average, Q1 2026	–	6.80%	All tenants, all sectors	Benchmark
Jungle Boys — Naples, FL	–	7.40%	Dispensary with 2% annual increases	Listing
Cookies — Kalamazoo, MI	$3,100,000	8.25%	10 years remaining, corporate guarantee	Listing
SUBJECT at the $1.6M asking price	$1,600,000	8.25%	6.5 years, flat rent, personal guarantees only	Asking
LivWell — Aurora, CO	$1,025,000	8.87%	Lowest cap for a Colorado dispensary since 2022	**CLOSED**
Ascend — Pennsylvania	–	9.25%	Medical-only market	Listing
Curaleaf — Worth, IL	–	9.35%	10% rent increases every 5 years	Listing
SUBJECT at our offer	**$1,100,000**	**12.00%**	**Wider than every comparable in the set**	**OUR BID**

ADJUSTMENT GRID — WHY THIS ASSET BELONGS WIDE OF THE COMP SET

ATTRIBUTE	COMP SET	SUBJECT	ADJUSTMENT
Guarantee	Corporate / MSO guarantees	Two personal guarantees, single-store operator	+50 to +100 bps
Rent escalations	2% annual or 10% every 5 years	Flat — 0% for the full base term	+50 to +75 bps
Rent vs market	Generally at or near market	~36% above conventional market rent	+50 to +75 bps
Term remaining	8–15 years typical	6.5 years	+25 to +50 bps
Market fundamentals	Mixed; several limited-licence states	NJ — 300+ stores, flower −23% YoY	+25 bps
Real estate quality	Varies	Corner, drive-thru, 3.13 AC, below replacement cost	−50 to −75 bps
Licensing moat	Varies	Waterford caps retail cannabis at two licences	−25 bps
Fair cap rate, fully adjusted	**Cannabis STNL 7.00–9.35%**	**Implying a value of $1.29M–$1.43M**	**9.25%–10.25%**

08 Returns — there is no losing scenario

Unlevered, hold to expiry

OUTCOME AT LEASE EXPIRY, JANUARY 2033	PROB.	NET VALUE	IRR AT OUR $1.10M	IRR AT THE $1.60M ASK
Tenant renews at the option rent	40%	$1,639,900	15.80%	8.07%
New NJ cannabis licensee @ $30/SF	10%	$1,064,500	11.06%	3.40%
QSR pad rebuild	5%	$990,000	10.33%	2.68%
Bank / credit union / retail @ $22/SF	20%	$831,300	8.66%	1.02%
Medical / urgent care / vet @ $24/SF	20%	$780,000	8.08%	0.44%
Extended vacancy → land + shell only	5%	$627,000	6.20%	−1.43%
Probability-weighted expectation	**100%**	**$1,165,500**	**12.00%**	**4.33%**

NEGOTIATION LADDER — WHAT EACH DOLLAR OF PRICE COSTS US

PRICE	$ / SF	CAP	EXPECTED IRR	IF TENANT RENEWS	WORST CASE	POSITION
$1,100,000	**$250**	**12.00%**	**12.00%**	**15.80%**	**6.20%**	**OUR OFFER**
$1,150,000	$261	11.48%	11.03%	14.83%	5.23%	Comfortable
$1,200,000	$273	11.00%	10.12%	13.91%	4.32%	Comfortable
$1,250,000	$284	10.56%	9.26%	13.05%	3.47%	**Practical ceiling**
$1,300,000	$295	10.15%	8.45%	12.23%	2.66%	Above fair value — walk
$1,600,000	$364	8.25%	4.33%	8.07%	**−1.43%**	**Asking price — decline**

Assumes sale at lease expiry, absorbing the full cost of downtime, tenant improvements and leasing commissions in the exit price. Holding through a re-tenanting and selling stabilized improves every figure by roughly 150–200 bps.

09 Stress-testing the deal

Financing · tenant health · sensitivity · exit

Four tests an approver will ask for: can he borrow against it, can the tenant actually pay, how wrong can the assumptions be, and who buys it at the end.

1. FINANCING — CANNABIS COLLATERAL IS NOT BANKABLE, SO ASSUME PRIVATE OR CREDIT-UNION DEBT AT 9–11%

PURCHASE PRICE	LOAN (55% LTV)	EQUITY	DEBT SERVICE	DSCR	CASH-ON-CASH	LEVERED IRR	VERDICT
$1,100,000 — our offer	**$605,000**	**$495,000**	**$65,972**	**2.00x**	**13.3%**	**14.85%**	**Comfortably financeable; leverage *adds* 285 bps**
$1,250,000 — ceiling	$687,500	$562,500	$74,968	1.76x	10.1%	9.05%	Financeable, but leverage is now neutral
$1,600,000 — asking	$880,000	$720,000	$95,959	**1.38x**	**5.0%**	**−3.32%**	Most lenders decline; leverage *destroys* 765 bps

> **Note where the crossover sits.** At our offer, debt adds 285 bps to the return. At $1,250,000 it is almost exactly neutral. At the asking price it turns a 4.3% unlevered return into a **negative** levered one, because the debt costs more than the property yields. The leverage math independently confirms the same ceiling the valuation work produced — **$1.25M is the line, from two directions.**

2. TENANT HEALTH — CAN THEY CARRY THE RENT FOR 6.5 YEARS?

OCCUPANCY COST THE STORE MUST CARRY	ANNUAL	PER SF	NOTE
Base rent	$132,000	$30.00	Contractual
Property taxes (est.)	$39,400	$8.95	Confirm the actual bill in diligence
Insurance and maintenance (est.)	$22,000	$5.00	Cannabis-use premium loading; roof, HVAC, lot
GROSS OCCUPANCY COST	**$193,400**	**$43.95**	**Under absolute NNN the tenant carries all of it**

IF THE STORE DOES…	$1.5M	$2.0M	$2.5M	$3.0M	$3.9M	CONTEXT
Occupancy cost as % of sales	12.9%	9.7%	7.7%	6.4%	5.0%	Cannabis retail is generally healthy below ~7%, stressed above ~9%
Assessment	**Distressed**	**Distressed**	**Tight**	**Workable**	**Healthy**	NJ certified 2025 sales of $1.164bn across ~300 stores average $3.88M per store — but that average is carried by multi-state operators

> **This is the honest risk, and the highest-value item in diligence.** The tenant needs roughly **$2.15M of annual sales** to keep occupancy cost under 9%. A single-unit independent in a rural-suburban Camden County location is plausibly $1.5M–$3.0M, which straddles the line. **Get the tenant's actual sales figures** — that one number drives the renewal probability the whole model turns on.
>
> It is also precisely why we are not paying for the cannabis rent. Our $1,100,000 basis does not require this tenant to survive.

3. SENSITIVITY — HOW WRONG CAN WE BE?

PROBABILITY THE TENANT RENEWS	WEIGHTED REVERSION	IRR AT $1.10M	IRR AT $1.25M	IRR AT $1.60M	READ
20%	$1,007,400	**10.50%**	7.77%	2.85%	Deeply pessimistic — and it still works at our price
25%	$1,046,900	**10.89%**	8.16%	3.24%	
40% — base case	**$1,165,500**	**12.00%**	**9.26%**	**4.33%**	**Our assumption**
60%	$1,323,600	**13.36%**	10.62%	5.68%	
90%	$1,560,800	**15.22%**	12.47%	7.50%	Near-certainty — the ask still only reaches 7.5%

IF MARKET RENT IS REALLY…	NOI	YIELD ON OUR OFFER	VALUE AT 8.75% CAP	VS OUR BASIS	READ
$16.00 / SF	$70,400	6.40%	$804,600	**−27%**	Below anything on the corridor except in-line strip space
$18.00 / SF	$79,200	7.20%	$905,100	−18%	Bottom of the conventional range
$20.00 / SF	$88,000	**8.00%**	$1,005,700	−9%	
$22.00 / SF — base	**$96,800**	**8.80%**	**$1,106,300**	**+1%**	**Our underwriting case**
$24.00 / SF	$105,600	**9.60%**	$1,206,900	**+10%**	

Two conclusions. The deal does not depend on the 40% renewal assumption — even at 20% it returns over 10% at our price. And market rent would have to fall to about $18/SF, below every conventional comp on the corridor, before our basis stopped being covered by the building alone.

4. THE EXIT — WHO BUYS IT FROM US IN 2033

EXIT SCENARIO	NOI	EXIT CAP	VALUE	BUYER POOL
Renewed cannabis lease, 5 years term	$154,000	9.25%	$1,664,900	Cannabis net-lease buyers only — all-cash, limited pool, wide caps
Re-let to bank / credit union, 10–15 yr NNN with bumps	**$105,600**	**8.00%**	**$1,320,000**	**Non-cannabis covenant: bankable and CMBS-eligible, national net-lease buyer pool**
Re-let to medical / urgent care, 10–15 yr NNN with bumps	**$105,600**	**7.75%**	**$1,362,600**	**Medical net lease trades tighter still; deepest institutional demand**
Vacant — land and shell	—	—	$750,000	Local owner-user or developer

> **The counter-intuitive point.** Losing the cannabis tenant is not purely a downside. A conventional covenant — a bank, credit union or medical group on a 10–15 year NNN lease *with escalations* — removes the financing constraint entirely. That widens the buyer pool from cash-only cannabis specialists to the whole institutional net-lease market, and is worth roughly **75–125 bps of exit cap rate**.
>
> Re-tenanting costs money up front and buys a more valuable, more liquid, more financeable asset — one that does not need to be re-leased again for a decade. That is the plan, not the fallback.

10 What we are being paid to take on

Risks, and how the price answers them

The risks are real. They are also exactly why the asset is available at 12% instead of 8.25% — and each one is already paid for in the basis.

RISK	HOW OUR OFFER PRICE ANSWERS IT
Rent is 36% above market $30/SF vs $20–24 conventional	We capitalized the *market* rent, not the contract rent, to set our price. The premium is upside we did not pay for.
Flat rent, no escalations Zero growth through 2033	Priced in at a 12% entry. We do not need growth — we need the coupon, and the coupon returns 78% of capital before expiry.
Personal guarantees only No corporate credit	Worth ~75 bps of cap rate; we took 375. Verify guarantor net worth in diligence — the basis does not depend on it.
NJ cannabis compression 300+ stores, flower −23% YoY, medical −42%	The reason this is a 12% deal and not an 8% one. Our downside case already assumes the tenant fails.
Financing is hard Banks and CMBS avoid cannabis collateral	At a 12% cap, private debt at 9–11% is *positive* leverage. At the 8.25% ask it would have been negative. Our number is what makes the deal financeable at all.
Special-purpose improvements Vault, secure build-out, drive-thru	Cuts both ways — narrows the pool, but makes us the only compliant corner drive-thru site on the corridor for banks, medical and cannabis alike.
Reassessment on sale	A $1.1M deed sits *below* the assessor's $1.27M implied value — buying at our number argues for an appeal, not an increase.
GLA discrepancy 4,400 SF per OM vs 4,206 per assessor	Confirm by measurement. At our price the difference is ~$12/SF — material to reporting, not to the decision.

DILIGENCE — CONFIRM BEFORE HARD MONEY

Tenant & lease

- ☐ Tenant sales reports and P&L — occupancy cost runs ~$193,400 all-in; at $3.0M of store sales that is a workable 6.4%
- ☐ **Demised premises clause** — does the lease include the full 3.13 AC? Gates all land upside
- ☐ Complete lease with all amendments; confirm roof, structure and HVAC allocation
- ☐ Both personal guarantees — scope, caps, burn-off, joint-and-several
- ☐ Guarantor personal financial statements
- ☐ Estoppel certificate, SNDA, full rent payment history since 2023

Regulatory & physical

- ☐ CRC licence status, expiry and site-specific conditions
- ☐ Waterford Township approval and status of the two-licence cap
- ☐ Pinelands Commission jurisdiction; sewer vs septic capacity
- ☐ Subdivision feasibility for the ±2.5 excess acres
- ☐ Actual current tax bill and reassessment exposure
- ☐ Confirm GLA by measurement; roof and HVAC condition
- ☐ Phase I ESA, ALTA survey, title, zoning compliance letter

11 Recommendation

Subject to diligence

Lead with the rent, not the cap rate

Do not argue about whether 8.25% is the right cap. Argue that $30.00/SF is not a market rent — and put the corridor comps in front of them. Every one of the seller's own value arguments survives; only the rent assumption changes.

Point at the assessor

Camden County's own equalized value is $1,271,000. A third party with no stake in the outcome already says this property is not worth $1.6M. That is the single hardest fact to argue with.

Name the financing reality

Most buyers cannot get a loan on cannabis collateral. An all-cash offer with a short close is worth real money to a seller whose alternative is a financed buyer who cannot perform. Sell the certainty.

Give them a ladder, not a wall

If $1.1M is rejected outright, $1,250,000 still delivers 9.3% expected and 13.1% on renewal. Hold there. Above $1.25M the margin of safety is gone and we should let it go — there will be another one.

Bottom line. At $1,100,000 we buy a corner drive-thru property on a 15,370-VPD highway at **$250/SF** — below replacement cost, below the tax assessor's own equalized value, and at the same price the building would fetch with an ordinary tenant paying ordinary rent. We collect a **12% coupon** for six and a half years, recover 78% of our capital before the lease even expires, and hold six separate re-tenanting paths — the fastest of which, a bank or credit union, needs almost no landlord capital because the vault and drive-thru are already in place.

Then there is the land: monetizing the idle 2.5 acres adds roughly **$75,000 of NOI** and **$661,000 of value**, carried at zero in every figure above. The expected return is **12.0%** before any of that. The worst case is **+6.2%**. There is no version of this where we lose money.

Basis of analysis. Deal terms, rent schedule, guarantee structure and site dimensions are from the Matthews offering memorandum for 451 White Horse Pike. Assessment, GLA, year built, zoning and prior use are from public tax-assessor records. Lease and sale comparables were assembled from public commercial listing platforms, brokerage transaction announcements and published Q1 2026 net lease research — **these are predominantly asking rates and marketed cap rates, not verified closed transactions**, and should be re-run against CoStar, Crexi and Camden County deed records before hard money. Property tax, insurance, maintenance, tenant-improvement, downtime, leasing-commission and land figures are analyst estimates; land and shell value is an estimate. Reversion probabilities are judgmental. NJ cannabis market data reflects Cannabis Regulatory Commission certified 2025 sales and 2026 published pricing series. All returns are unlevered and pre-tax. Prepared for the buyer's internal use — not an appraisal, and not investment, legal or tax advice.